ENERGY STORAGE AGREEMENT

BETWEEN

NATIONAL SYSTEM OPERATOR (PRIVATE) LIMITED

AND

(*Company Name*)

xx MW /xx MWh Battery Energy Storage Facility

(*BESS Plant Name*)

Tender No: TR/REP&PM/ICB/2026/001/C

xxth xxx 2027

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AGREEMENT FOR PURCHASE OF STORAGE SERVICES
BETWEEN
National System Operator (Private) Limited
AND
(*Company Name*)

xx MW /xx MWh Battery Energy Storage Facility

BESS Plant Name

Ref: TR/REP&PM/ICB/2026/001/C

This Agreement is made and entered into at Colombo this **xxth day of xxx 2026** by and between

The **National System Operator (Private) Limited**, a limited liability company duly incorporated in Sri Lanka bearing company registration number **PV 00337141** and having its registered office at 50, Sir Chittampalam A. Gardiner Mawatha, Colombo in the Democratic Socialist Republic of Sri Lanka (hereafter referred to as "**NSO**" which term or expression where the context so requires includes the said **NSO** and its successors and permitted assigns); and **(*Company Name*)** a limited liability company duly incorporated in Sri Lanka bearing company registration number **PV xxxxxxx** and having its Registered Office at **(*Company Address*)** (hereafter referred to as the "Company" which term or expression where the context so requires includes the said **(*Company Name*)** and its successors and permitted assigns);

WHEREAS the **Ceylon Electricity Board** (hereafter referred to as **"CEB"**), was a body corporate duly constituted by Act No. 17 of 1969, entrusted with the functions of generation, transmission and distribution (in a majority of the areas) of electricity in Sri Lanka;

AND WHEREAS the NSO being empowered to obtain battery energy storage services under applicable law and in accordance with the least cost power generation plan, considered it necessary to establish battery energy storage systems at different locations for the purpose of enhancing system stability;

AND WHEREAS consequently, the NSO issued the RFP for the establishment of battery energy storage systems at different locations around Sri Lanka;

AND WHEREAS in response to the RFP, the Company submitted a proposal to the NSO for the Project and following evaluation of proposals received, the Company was selected to implement the Project following a transparent and competitive process;

AND WHEREAS, pursuant to the Order made by the Honourable Minister of Energy on the 5th of March 2026 under subsection 2 of Section 1 of the Sri Lanka Electricity Act No. 36 of 2024 (as amended) and published in Gazette Extraordinary bearing number 2478/41 dated 5th of March 2026, the provisions of the Sri Lanka Electricity Act No. 36 of 2024 (as amended) (other than those provisions set out in the schedule to the aforesaid Order) were brought into operations, and consequently, by operation of law, the NSO became vested with all powers, functions, entitlements, contracts, assets, obligations and liabilities as set out *inter-alia* in sections 10 and 11 of the said Act, on the 9th March 2026;

AND WHEREAS, the Company has all requisite corporate and legal authority to execute this Agreement, and is permitted by applicable laws to implement the Project;

AND WHEREAS, the Company wishes to provide, and NSO wishes to procure the offered Battery Energy Storage System, in accordance with the terms set forth in this Agreement;

AND WHEREAS, NSO is a body corporate that is not able to assert any defences of sovereign immunity to enforcement of contracts with private entities;

NOW, THEREFORE, in consideration of the mutual promises and agreements contained herein, the Company and NSO hereby agree as follows:

ARTICLE 1 - DEFINITIONS

When used with initial capitalization, whether in the singular or in the plural, the following terms shall have the following meanings:

"**Agreement**" means this document, including its schedules and appendices and all documents, regulations, or standards incorporated by reference, as such may be amended from time to time;

"Battery Energy Storage System" or "**BESS**" means the standalone battery storage system having a contracted capacity of **xx MW/ xx MWh**, as set out in Appendix B (Specifications of the Company's Facility);

"**Capacity Charge**" means the capacity charge calculated based on the capacity charge rates in accordance with the formulae in Appendix A (PAYMENTS AND PENALTIES FOR STORAGE SERVICES);

"Capital Cost" means at any time, the total cost of the financing, design, development, construction, testing and commissioning of the BESS;

"Change in Law Period" means each period of three hundred and sixty-five Days where such period commences on the bid closing or any anniversary thereof;

"**Commercial Operation Date**" means the day on which:

(1) Subject to Article 4.3, the Company formally notified the NSO that the Facility is ready for the commencement of energy storage services; and
(2) The Company commences supplying energy storage services from the Facility to the NSO;

"**Contract Year**" means the twelve-month period commencing on the Commercial Operation Date and each succeeding twelve-month period, during the term of this Agreement;

"**Distribution Licensee**" means [Electricity Distribution Lanka (Private) Limited], a company duly incorporated in Sri Lanka bearing company registration number PV00338637, and its successors or assigns;

"**Distribution Network**" means the 33kV distribution network of the Distribution Licensee;

"**Due Date**" means the date occurring thirty (30) days after the date on which the NSO or the Company receives the Monthly Invoice or the LD Invoice, as the case may be;

"**Emergency**" means a condition or situation, which is likely to result in disruption of service to the consumers of electricity, or is likely to endanger life or property;

"**Energy Input**" means the amount of electrical energy imported into the Facility from the Distribution Network under this Agreement;

"**Energy Output**" means the amount of electrical energy exported from the Facility under this Agreement;

"**Effective Date**" means the date on which the Conditions Precedent are satisfied or waived in accordance with the provisions of Article 2 of this Agreement;

"**Execution Date**" means the date on which this Agreement is executed by the Parties;

"**Facility**" means the Battery Energy Storage System and all of the Company's equipment and appurtenant land located at **(*BESS Location*)**. utilised to store and export Energy Output, to be located within a maximum distance of 5 kilometres from the **(*Grid Name*)** Grid Substation (the "**GSS**"), more fully described in Appendix B (Specifications of the Company's Facility), including but not limited to the Company's protective equipment and all other installation (which expression shall be deemed to be a reference to such Facility, whether completed or at any stage of development and construction);

“**Full Equivalent Cycles**” shall have the meaning given to that term in Appendix A (Payments and Penalties for Storage Services);

"**Government**" means the Government of the Democratic Socialist Republic of Sri Lanka;

“**Grid Code**” means the Grid Connection Code. approved by Public Utilities Commission in Sri Lanka dated **July 2024**;

"**Grid Point**" means the connection stud at which the Interconnection Line physically connects to the national grid located on the grid system, depicted as "G" on the diagram in Exhibit A;

"**IEC Standards**" means the relevant standards published by International Electrotechnical Commission of No. 3, rue de Varembé, P. O. Box 131, CH-1211 Geneva, Switzerland;

"**Interconnection Guidelines**" means the Grid Connection Code approved by Public Utilities Commission in Sri Lanka dated 22nd July 2024;

"**Interconnection Line**" means the power line which interconnects the Facility to the Grid Point from the Termination Point enabling the transmission of Energy Input and Energy Output;

"**Metering Point**" means the point where the metering of Energy Output and Energy Input initially takes place. The Metering Point is shown as Point M on Exhibit A;

“**Minimum Dispatchable Storage Capacity**” means, for any given Contract Year, the minimum capacity that the Facility shall be capable of dispatching**,** as specified in Appendix A;

"Month" means a calendar month;

“National System Control Centre” means the systems control centre of the NSO;

"Party" means the Company or NSO, as the case may be, and “Parties” means both of them;

“**Performance Security**” means the on-demand bank guarantee submitted by the Company in accordance with Clause 2.17.2 of the RFP and any bank guarantee submitted in replacement thereof;

"**Prime Rate**" means the latest Average Weighted Prime Lending Rate (AWPLR) published by Central Bank of Sri Lanka on monthly basis;

"**Project**" means the development, establishment, financing, construction, commissioning, operation and maintenance of the Facility and the Interconnection Line;

"**Prudent Utility Practices**" means accepted international practices and standards which the Company shall identify prior to the Commercial Operation Date, and engineering and operational considerations, including manufacturers' recommendations and the exercise of that degree of reasonable skill, diligence, foresight and prudence that would be exercised or generally followed by a skilled and experienced operator in the operation and maintenance of facilities similar to the Facility;

"Recurrent Cost" means cost which are not of a capital nature and which will recur over a period of time;

"**RFP**" means the Request for Proposal document for the Project dated XXth XXX 2026 published by the NSO;

"Scheduled Commercial Operation Date" means the date occurring Nine (09) months from the Effective Date, as may be extended in accordance with this Agreement;

"**Scheduled Outage**" means an outage which is scheduled in advance for the purpose of performing maintenance on the Facility;

"**Termination Point**" means the connection stud of the Facility side isolator located in the Facility, depicted as "T" on the diagram in Exhibit A;

"**Unscheduled Outage**" means an outage of the Facility, which is not a Scheduled Outage.

"Works" means the permanent and temporary works required for the design, construction, completion and commissioning of the Facility.

<u>ARTICLE 2 - STORAGE SERVICES</u>

2.1 <u>Contracted Storage Capacity</u>

a) The Company shall ensure the availability of the Battery Energy Storage System (BESS) for operation in accordance with the instructions of National System Control Centre and consistent with the Minimum Dispatchable Storage Capacity, and NSO shall pay the

Company the Capacity Charge for such availability as provided for in Appendix A (Payments and Penalties for Storage Services).

b) The Company may be liable to applicable liquidated damages as set out in Appendix A (Payments and Penalties for Storage Services) for failure to perform in the manner set out in Appendix A (Payments and Penalties for Storage Services).

c) The Company shall ensure that the Energy Output shall comply with the quality standards specified in Appendix B (Specifications of the Company's Facility) at the Termination Point.

2.2 <u>Obligations of the Company</u>

a) The Company shall ensure that Commercial Operation Date occurs on or before the Scheduled Commercial Operation Date.

b) The Company shall notify the NSO and the Distribution Licensee in writing at least fourteen (14) days prior to the initial synchronization of the Facility with the Distribution Network and shall coordinate such synchronisation with the NSO and the Distribution Licensee.

c) The Company shall provide the NSO with written notice of its anticipated achievement of commercial operation no later than fourteen (14) days prior to the expected Commercial Operation Date.

d) At least ten (10) days prior to the expected Commercial Operation Date and thereafter on or before 1st December of each subsequent Year, the Company shall furnish to the NSO, an annual forecast that includes the Scheduled Outages for each year; The Company shall provide the NSO on monthly basis throughout the Term, the availability of the Facility for storage of energy, in 15 min timesteps, in a suitable electronic format.

e) The Company shall maintain the Facility according to Prudent Utility Practices to ensure that the Minimum Dispatchable Storage Capacity is maintained throughout the Term.

f) The Company shall notify the NSO one month in advance of Scheduled Outages, including a non-binding estimate of expected length, and as soon as possible, of any Unscheduled Outages, including a non-binding estimate of expected length. In addition, the Company shall continuously submit to the National System Control Centre an estimate of the Facility's expected availability, in 15-minute resolution, covering a rolling 3-day period, in the format prescribed by NSO.

The Company shall be responsible, in coordination with the respective Distribution Licensee, for the design, procurement, construction, testing and commissioning of the Grid Interconnection Line, including the Metering Equipment and all associated materials, provided that the Metering Equipment shall be procured in accordance with the specifications issued by the NSO. The Company shall ensure that all Grid Interconnection facilities required for the interconnection of the Project are fully completed, tested and ready at the time of commissioning of the Project.

g) The Company shall comply strictly with Interconnection Guidelines and the CEB Distribution Construction Standards (CEB: DCS - 04 : 2023) set out in Appendix D (Distribution Construction Standards), applicable to interconnection of similar facilities. The Company shall, at its own expense, make all necessary arrangements to make available the Energy Output at the Grid Point. The NSO shall cooperate with the Company in these arrangements.

~~h)~~ The Company shall obtain all the necessary permission, clearances for construction and operation of the Facility from relevant statutory organizations.

2.3 <u>Obligations of the NSO</u>

i. The NSO's obligations to make payments as described herein, shall continue during the Term, and shall only be excused in the event of Force Majeure arising under Article 6 herein affecting the Company.

ii. The NSO may provide a non-binding, indicative dispatch schedule to the Company on a 'day ahead' basis, such that it allows Company to plan any short maintenance activities. However, subject to the provisions of Article 3.3 (d), the NSO may change the indicative dispatch instruction at the NSO's sole discretion, and the Company is required to comply with it.

iii. The NSO shall not issue any dispatch instructions above the Minimum Dispatchable Storage Capacity nor above the then prevailing Actual Dispatchable Storage Capacity and Prudent Utility Practices.

iv. The dispatch instructions shall be consistent with Article 2.1 of Appendix A (Payments and Penalties for Storage Services).

ARTICLE 3 - TERM; TERMINATION

3.1 4.1 Term

3.1.1 This Agreement shall become effective on the Effective Date and, subject to termination in the manner set forth in this Agreement, shall continue for a period of **fifteen (15)** years beginning on the Commercial Operation Date unless extended in accordance with this Agreement (the "**Term**"). Notwithstanding the expiry or termination of this Agreement, the applicable provisions of this Agreement shall remain in effect after termination hereof to the extent necessary to provide for final billings, billing adjustments, payments, resolution of any outstanding Disputes and effectuation of all rights and obligations hereunder.

3.1.2 The Term shall be extended due to Force Majeure in accordance with Articles 4.2 and Article 6 in which event such period shall end at 2400 Hours of the last Day of the period of such extension.

3.2 Default

Events of Default under this Agreement shall be each or any of the following events:

(i) The Company fails to achieve the milestones set forth in Article 11.2.

(ii) The Company fails to complete, abandons, or cancels construction of the Facility.

(iv) The adjudged bankruptcy, dissolution, or liquidation of either Party, in which case the bankrupt, dissolved, or liquidated Party shall be deemed to be the Party in default hereunder.

(v) Either Party is in breach of or fails to perform or observe any of the material terms, conditions, or provisions of this Agreement, and such failure has not been rectified or cured within sixty (60) days after written notice thereof from the non-defaulting Party, provided however that if such failure cannot reasonably be cured within such sixty (60) day period, within an extended period not exceeding two years as reasonably shall be required to effect such cure granted by the non-defaulting Party (acting reasonably) at the request of the defaulting Party, provided the defaulting Party has commenced within such sixty (60) day period to effect such cure and at all times thereafter proceeds diligently to complete such cure as quickly as possible, subject to the provisions of Article 7.

(vi) The failure of any Party to make an undisputed payment when due, and such non-payment continues for more than ninety (90) days.

(vii) The compulsory expropriation, acquisition or nationalisation of the material assets or equity of the Company by any instrumentality of the Government, or the dissolution or reorganisation of the NSO such that it cannot perform its obligations hereunder.

3.3 Termination

3.3.1 Upon the occurrence of an Event of Default, the non-defaulting Party shall be entitled to terminate this Agreement, as follows;

a) The non-defaulting Party shall give 30 days' written notice to the defaulting Party, specifying the Event of Default;

b) Where such Event of Default is not remedied within such time (or any extended period of time granted by the non-defaulting Party, where the defaulting Party is diligently pursuing a cure) the non-defaulting Party may terminate this Agreement by giving 60 days written notice to the defaulting Party, provided that where the NSO claim any Event of Default against the Company, it shall first notify the Company's lenders in writing of such default and afford the Company's lenders reasonable time, access and opportunity (not less than ninety (90) Days, and at the written request of the lenders, such further period of time as necessary, where the lenders are diligently pursuing a cure) to remedy the event giving rise to the default or step-in to the Project, and shall cooperate with the Company's lenders to this end.

c) The non-defaulting Party may pursue any remedies provided for in this Agreement or under law.

3.3.2 In the event this Agreement is terminated by the NSO due to a default by the Company in achieving the Commercial Operation Date by the Scheduled Commercial Operation Date, the NSO shall be entitled to forfeit the Performance Security, without prejudice to any other rights or remedies available to the NSO under this Agreement or at law.

ARTICLE 4 - CONSTRUCTION; INTERCONNECTION; OPERATION; METERING

4.15.1 Approvals

a) The Company shall obtain and remain in compliance with all governmental, and other approvals, licenses, permits, and certificates necessary for the construction, operation and maintenance of the Facility for the duration of this Agreement.

b) The Company shall obtain all customs clearances and approvals for the importation and transportation of all equipment necessary for the design, and construction of the Facility.

c) The Company shall obtain all necessary visas, and work permits from Government agencies or departments in Sri Lanka to enable the Company's expatriate officers and staff to work in Sri Lanka for the duration of their assignment.

4.2 Standards

a) The Facility shall be constructed in accordance with the Functional Performance Requirements – Grid Integration set out in Appendix D (Functional Performance Requirements – Grid Integration).

b) The Facility shall be operated and maintained by the Company in a manner consistent with Prudent Utility Practices.

4.3 Testing

a) Upon completion of construction, the Facility shall be tested by and at the expense of the Company in accordance with the Grid Code, Distribution Code and the technical standards set out in Appendix C (Technical Standards for Testing of the Facility) hereof. The NSO shall be entitled to witness testing procedures conducted by the chartered engineer acceptable to NSO, nominated by the Seller.. The Company shall certify in writing to the NSO that the Facility conforms to the specifications for quality of Energy Output set out in Appendix B (Specifications of the Company's Facility), at the Termination Point.

b) The pre-testing and the witnessing of the testing and commissioning of the Facility shall be as per the technical standards set out in Appendix C hereof, and incorporated by reference herein, at the expense of the Seller.

c) When requested by the Company, the NSO shall facilitate a maximum of three (03) Full Equivalent Cycles for testing and commissioning the Facility. The Company shall pay the tariff applicable to 33kV connected consumers for any energy loss arising from any additional Full Equivalent Cycles required by the Company for the purpose of testing.

4.4 Inspection of Company's equipment

Upon reasonable prior notice, the NSO shall have the right to inspect the Company's equipment of the Facility to ensure compliance with Prudent Utility Practices and the Interconnection Guidelines. Such access shall not interfere with the Company's normal business operations. All NSO personnel shall follow all the safety and procedural rules of the Facility while on the Facility premises.

4.5 Metering

a) The Company shall procure, at its own cost and expense, one set of Metering Equipment comprising a main meter (the "Main Meter") and a backup meter (the "Backup Meter") for the purpose of measurement and billing under this Agreement. The Metering Equipment shall comply with the specification issued by the NSO. The Metering Equipment shall be sealable.

b) The Company shall provide the relevant manufacturer's type test certificates for inspection to the NSO. The factory acceptance tests of the Metering Equipment shall be carried out by one of the testing institutions set out in Appendix E (Approved Meter Testing Institutions) for compliance with the standards set out in Appendix F (Applicable IEC Standards for Metering Equipment and Testing), and the certification thereof by such testing institution shall be provided to NSO prior to installation of such Metering Equipment.

c) The Metering Equipment will be installed at the Metering Point depicted as "M" in Exhibit A.

d) The Metering Equipment shall be handed over to the NSO upon installation and shall be operated and maintained by the NSO.

e) The Metering Equipment shall be tested at least annually, at the Company's expense, in accordance with Prudent Utility Practices. At any reasonable time, either Party may request a test of the accuracy of any Metering Equipment. Each Party shall bear the cost of a test requested by it. The results of meter calibrations or tests shall be available for examination by the Parties at all reasonable times If, at any time, any metering equipment is found to be inaccurate by more than zero-point five percent (0.5%), NSO shall arrange through the relevant Distribution Licensee for such metering equipment to be made accurate or replaced as soon as possible at its own cost and refund the testing charges to the Seller for additional tests requested by the Seller, except annual tests of Meters. Each Party shall be present for breaking the seals, testing, recalibration and sealing of meters. If either Party believes that there has been a meter failure or stoppage, it shall immediately notify the other. The NSO shall then investigate and take corrective action if so required.

f) Testing and calibration of Metering Equipment, and any verification of the accuracy of Metering Equipment, shall be performed pursuant to IEC Standards, by a mutually agreed upon qualified independent third party. Calibration shall occur before use of the Metering Equipment. All Metering Equipment shall be sealed and locked by the NSO after calibration. The Company shall be notified of calibration and have the right to be present at such testing and calibration.

g) The Company shall install, commission, and maintain a Grid Code Compliance Monitoring System in accordance with the requirements stipulated in Appendix E – Functional Performance Requirements. The system shall remain operational throughout the Term of the Agreement and shall be capable of monitoring and recording all parameters necessary to demonstrate continuous compliance with the applicable Grid Code requirements.

h) Any supplemental electrical energy purchased through a separate energy meter by Company shall be pursuant to applicable tariffs for that category and amount of power.

4.6 The Interconnection Line

a) The Battery Energy Storage System (BESS) Facility shall be connected to the Medium Voltage (MV) distribution network with the coordination of respective Distribution Licensee, and the Company shall be responsible for designing, engineering, procuring, constructing, testing, commissioning, operating, and maintaining all MV interconnection facilities required for evacuation of power from the BESS Facility up to the Point of Interconnection.

b) The Point of Interconnection shall be established at the Grid Substation ("GSS") premises, where the existing feeder shall be split through a gantry arrangement to provide a dedicated circuit for the BESS Facility. The revenue metering point for energy accounting shall be located at the said gantry.

c) The BESS Facility is located within approximately 5 km radial distance from the GSS, and the Developer shall establish and maintain a dedicated MV feeder from the BESS Facility up to the Point of Interconnection. All associated works, including line routing, poles/cables, switchgear, protection systems, SCADA/communication interfaces, and any required augmentation of the MV network to ensure compliance with grid requirements, shall be the sole responsibility of the Company and shall be undertaken entirely at its own cost and expense, subject to approvals of the Distribution Licensee.

d) All losses and auxiliary consumption occurring in the dedicated MV interconnection system between the BESS Facility and the revenue metering point at the GSS shall be borne by the Developer.

4.7 Protective Apparatus

a) The Company shall install at its own expense such protective apparatus so as to satisfy the Specification of the Facility for quality of electrical energy as set out in Appendix B (Specifications of the Company's Facility), at the Termination Point and as required by the Grid Code.

b) The NSO shall have the right to review the design of all equipment of the Company as to the adequacy of the protective apparatus provided at the Facility. The Company shall be notified of the results of such review by the NSO in writing within thirty (30) days of the receipt of all specifications related to the proposed design. Any flaws perceived by the NSO in the proposed design shall be described in the written notice. Any additions or modifications required by the NSO shall be incorporated by the Seller.

4.8 SCADA Integration

a) The Company shall provide an industrial grade, independent SCADA gateway for integration with National System Control Centre. The above gateway shall comply with the following specifications;

- SCADA gateways shall comply with the IEC 60870-5-104 for master station standards.
- Equipment and port redundancy shall be available for the SCADA gateway. In case of a main one failure, standby unit shall be able to switch to main operation with National System Control Centre.
- The Company shall provide a reliable technical solution to integrate the data feeds from dual redundant sources to the gateways, ensuring the seamless SCADA reporting with precise time stamps.
- All the signals related to BESS in accordance with the typical signal lists attached as APPENDIX G (Typical Signal List for BESS and Communication Path Configuration for the Gateway Installing At Bess Control Center Under The Developer Premises) shall be configured in the Gateway in accordance with the IEC 60870 – 5 – 104 protocol and made available to National System Control

Centre via the NSO communication equipment at the GSS before the commissioning.

- Gateway configuration parameters are given in APPENDIX G (Typical signal list for BESS and communication path configuration for the gateway installing at BESS Control Centre under the developer premises). The communication interfaces shall be configured as in APPENDIX G (Typical signal list for BESS and communication path configuration for the gateway installing at BESS Control Centre under the developer premises).

- The finalized signal list shall be submitted by the Company to the NSO at least 02 weeks prior to the commissioning.

b) The NSO shall provide communications channels via fiber optic (FO) cable from the GSS to link the BESS with the NSO Communication network for provision of voice and SCADA.

c) The Company shall provide the following;

(i) Fiber Optic Cable from BESS to the GSS

- Two (02) nos. separate fibre optic cables (for redundancy) shall be drawn from BESS to the GSS. The fibre cable shall contain 8 nos. of single mode fibre cores suitable for transmission of 1310 nm and 1550nm optical wavelengths and they shall be in conformity with ITU-T recommendations G.652.D.

- A suitable distribution frame/patch panel with single mode pig tail (FC) terminations shall be installed at two ends of FO cables to terminate 16 Nos. of cores. Suitable dielectric ruggedized optical fibre approach cables shall be used from the outside switchyard joint box to the indoor patch panel of the GSS.

(ii) A suitable DC powered firewall with redundant power supply units shall be supplied, installed and commissioned (to suit the CEB recommended security rules/policies) at the GSS. And from this firewall there shall be 02 Nos. of parallel 1 Gbps optical Ethernet links on the two redundant optical fiber cables, commissioned up to an appropriate firewall/network switch installed at the BESS end. The firewall at the GSS may require NAT (network Address translation) facility for masking the internal subnets.

(iii) At the GSS from this new firewall there shall be 02 Nos. of Electrical 1000BaseT type parallel links (trunks) to the existing optical multiplexer to interface SCADA and Voice over IP facilities tagged with IEEE 802.1Q VLANs.

(iv) An IP desktop phone shall be made available at BESS to provide operational voice communication with National System Control Centre.

(v) The specification of the IP phone and the firewall shall be sent to CEB for reviewing and necessary approvals.

4.9 Dynamic Model Testing and Compliance of Commissioning

a) The Company shall, within two (2) months from the date of Acceptance of the Letter of Award, submit to the NSO all results, reports, and validated models of the BESS Project derived from the Dynamic Model Tests, in a form and level of detail acceptable to the NSO.

b) In the event the Company fails to submit such results, reports, and models within the stipulated period, or within such extended period as may be approved by the NSO at its sole discretion, the NSO shall be entitled, without prejudice to any other rights or remedies available under this Agreement, to forfeit the Performance Security,

c) The Company shall, at its sole cost and expense, implement any recommendations issued by the NSO based on the review of the Dynamic Model Test results. No additional payment or compensation shall be made by the NSO for such implementation.

d) At Commissioning, the Company shall, demonstrate and verify that all performance results are in conformity with to those approved during the Dynamic Model Tests. Any deviation shall be rectified by the Company at its own cost within a period specified by the NSO.

4.10 Decommissioning and Disposal Obligations

a) The Company shall be solely responsible for the decommissioning, dismantling, removal, and safe disposal of the Facility and BESS and all associated infrastructure.

b) The Company shall comply with all applicable environmental laws and standards in carrying out such activities set out in Article 5.9 (a) above.

c) The Company shall bear all costs and liabilities associated with the decommissioning and disposal activities, including any fines, penalties, or remediation actions resulting from non-compliance.

ARTICLE 5 - EXPORT AND ACCEPTANCE OF ENERGY OUTPUT; PAYMENT

5.16.1 Billing

a) During the Term, the NSO shall log each dispatch instruction for each time block comprising a duration of 15 minutes. The billing for compliance in actual dispatch and scheduled dispatch of Battery Energy Storage System for each time block shall be based on log output recorded of dispatch instructions of the NSO and from the NSO meter measurements at the Metering Point.

b) The NSO shall provide the Company for the purpose of reading, access to all NSO meter measurements on a real time basis.

c) In addition, the NSO shall read the meters provided in terms of Article 5.5 at the end of each Month for determination of the Energy Input and Energy Output under the terms of this Agreement. The applicable meter reading for the purpose of billing shall be the reading at midnight on the last date of each Month.

d) The Company shall submit an invoice to the NSO no later than 1200 Hours on the fifteenth (15^{th}) Day of each Month (or, if such Day is not a Business Day, on the next Business Day) commencing with the Month following the Month in which the Commercial Operation Date occurs, and such invoice (the "**Monthly Invoice**"), which shall be submitted not less than twenty one (21) Days after the previous invoice, shall show all intermediate calculations in reasonable detail so as to enable the amounts due to be verified, and shall also state;

(i) the applicable Capacity Charge for the previous Month and other amounts payable, if any, calculated according to Appendix A (Payments and Penalties for Storage Services), including particulars of such amounts;

(ii) the applicable adjustments for the amount in unpaid invoices;

(iii) any other sums due and payable by the NSO to the Company under this Agreement;

(iv) the amount of any Sales Taxes, the applicable rate or rates at which Sales Taxes are calculated on the component elements of the amount invoiced and the total sum payable by the NSO inclusive and exclusive of any such Sales Taxes;

(v) the amount of any costs incurred by the Company in the previous Month (and in the case of first Monthly Invoice for the First Month, in the period from the date of this Agreement to the date of such invoice) and payable by the NSO pursuant to Article 6A (Consequences of Change in Law Event) to the extent that such amounts are not reimbursed to the Company by any other way; and

(vi) Any amounts the Company is entitled to, pursuant to Article 7.

e) The NSO shall be entitled to submit an invoice no later than 1200 Hours on the fifteenth (15^{th}) Day of each Month (or, if such Day is not a Business Day, on the next Business Day) commencing with the Month following the Month in which the Commercial Operation Date occurs, in respect of any liquidated damages due from the Company to the NSO in terms of Appendix A (Payments and Penalties for Storage Services) (the "**LD Invoice**").

f) If the NSO disputes any amount specified in any Monthly Invoice or the Company disputes any amount specified in any LD Invoice (such disputed amount hereinafter called a "**Disputed Amount**"), such disputing party shall;

(i) within fourteen (14) Days of receipt of such invoice, give written notice of the Dispute and details of the Disputed Amount to the other Party; and

(ii) pay any undisputed amount in that invoice on or before the Due Date.

g) The NSO shall pay the Company on or before the Due Date the payments related to Capacity Charge for all services that is not disputed in good faith as provided for in this Agreement.

h) Any undisputed amounts unpaid after the Due Date shall bear interest at the Prime Rate compounded on a monthly basis.

i) Either party may dispute any billing error, amount, or payment by written notification to the other Party within one (1) year of receipt of a meter reading or other alternative billing information, whether or not payment has been made. If dispute resolution is in favour of the Company, the NSO shall pay the Disputed Amount plus interest at the Prime Rate, compounded monthly, from the Due Date to the date payment is made. If resolution is in favour of the NSO, the Company shall refund any payment received of the Disputed Amount plus interest at the Prime Rate, compounded monthly, from the original Due Date to the date the refund is made. All such payments shall be due within fifteen (15) days of the date of such resolution.

j) If, pursuant to Article 6.1 (f)(i) or 6.1 (i), either Party disputes any amount, the Parties shall resolve such Dispute pursuant to Article 9 (Dispute Resolution).

k) Where an LD Invoice is undisputed by the Company, or where a Dispute arising from a LD Invoice is determined in favour of the NSO, such amount of liquidated damages shall be deducted from any Monthly Invoice then payable by NSO to the Company, or from the payment under any subsequent Monthly Invoices, to secure their payment at the earliest opportunity.

l) In the event that any data required for the purpose of determining payment hereunder are unavailable when required, such unavailable data may be estimated by the NSO, subject to any required adjustment based upon actual data in the next subsequent payment Month.

m) To determine the amount of Energy Input and Energy Output, billing and payment will be based on the first available of the following metering or estimation options in order of preference:

(i) The Main Meter measurement(s) when that Main Meter satisfies for the period at issue, the accuracy standard in Article 4.6(c); or

(ii) The Backup Meter measurement when that Backup Meter satisfies the accuracy standard in Article 4.6(c) for the period at issue.

(iii) Where both the Main Meter and Backup Meter fail to accurately register the Energy Input and Energy Output, the average monthly Energy Input and Energy Output during the previous twelve (12) billing periods prior to meter failure (or fewer months if the Facility is less than twelve months from the Commercial Operation Date), as adjusted or normalized for outages, shall be used to estimate Energy Input and Energy Output of the Facility for the period of issue.

n) The Company may interrupt, partially or completely refuse to make available the Facility to the NSO only to the extent that the Company reasonably determines that such interruption, or refusal is necessary in order to install equipment in, make repairs, replacements, investigations and inspections of, or perform maintenance, or where the NSO grid operates outside the grid parameters set out in Appendix D (Functional Performance Requirements – Grid Integration). The Company shall, prior to initiating any interruption or refusal of availability of the Facility, use its best efforts to provide the NSO a minimum of twenty-four (24) hours advance notice, such notice to include an explanation of the cause of the interruption, and an estimate of the start and duration of the interruption. In the event of such interruption or refusal to make available the Facility, the Company shall receive Capacity Charge payments as applicable in Appendix A (Payments and Penalties for Storage Services) of this Agreement. For the avoidance of doubt, where there is an interruption and/or refusal to make available the Facility in terms of this Article where the NSO grid operates outside the grid parameters set out in Appendix D (Functional Performance Requirements – Grid Integration), the NSO shall not be entitled to charge any liquidated damages from the Company, and the Company shall be entitled to the full Capacity Charge payment in terms of Appendix A (Payments and Penalties for Storage Services), as if no interruption had occurred.

o) All payments made under this Agreement shall be calculated in accordance with the Appendix A (Payments and Penalties for Storage Services). Any applicable Value Added Tax or similar Sales Taxes that is payable will then be added to such payments.

ARTICLE 6 - CHANGE IN LAW & FORCE MAJEURE

A) CHANGE IN LAW

a) A change of laws shall constitute a change in law event (a "**Change in Law Event**") if such change of laws:

(i) amends, withdraws or negates in any manner the benefits conferred by the bonded warehouse scheme established under the Customs Ordinance provided to energy storage facilities pursuant to the Regulations of the Minister of Finance and Mass Media dated 10th August 2018 and published in Gazette Extraordinary bearing number 2083/33 dated 10th August 2018 as amended by the Regulation of the Minister of Finance, Planning and Economic Development dated 15th October 2025 published in the Gazette Extraordinary bearing number 2458/38 dated 15th October 2025, being the basis upon which the bid of the Company was made and accepted; or

(ii) amends the Grid Code or the Interconnection Guidelines.

b) Consequences of a Change in Law Event

(i) If, following the bid closing (i.e. 14th October 2025):

aa. the effect of one or more Change in Law Events is to increase the costs of a capital nature paid or incurred by the Company in respect of the Project during any Change in Law Period by more than LKR 20,000,000/-; or

bb. the net effect of one or more Change in Law Events is to reduce the revenue of the Company or to increase the Recurrent Costs paid or incurred by the Company in respect of the Project in any Change in Law Period by more than LKR 20,000,000/-;

the Company shall provide the NSO with verifiable evidence of the reduction in revenue or an increase in such costs and/or the NSO in its reasonable opinion agreeing that there has been a reduction in revenue or an increase in such costs, the Parties shall agree on an equitable adjustment to the Capacity Charge so that the Company shall be in no better or worse a financial position in respect of such amounts in excess of the threshold amount specified in subclause (b) of this Article 6A or the NSO shall at its option pay to the Company any such excess amounts in accordance with an invoice delivered by the Company in accordance with Article 6.

(ii) If, in any Change in Law Period, the net effect of one or more Change in Law Events is to increase the revenue of the Company or reduce the Recurrent Costs or Capital Cost of the Project paid or incurred by the Company in respect of the Project by more than LKR 20,000,000/- (in case of Recurrent Costs) and LKR 20,000,000/- (in case of Capital Cost of the Facility), the Parties shall agree on an equitable adjustment to the Capacity Charge so that the Company shall be in no better or worse a financial position in respect of such costs in excess of the threshold amount specified in this Article 6A or the Company shall pay to the NSO an amount equal to the amount that such increase in revenue or reduction exceeds the amounts stated above.

(iii) For the purposes of calculating the increase or reduction in costs incurred by or reduction in revenue of the Company due to a Change in Law Event such amounts shall be calculated:

aa. in the case of any increase in costs or reduction in revenue, on the Day on which such additional costs are paid by the Company or the reduction in revenue occurred; or

bb. in the case of any reduction in costs, the Day on which the relevant costs would have been payable by the Company were it not for such Change in Law Event.

(iv) If the Parties cannot agree on any amount payable in accordance with Article 6A (b) (i) (aa) or Article 6A (b) (i) (bb), either Party may then refer the matter to be determined for final determination by the Arbitral Tribunal appointed under Article 8 (Disputes Resolution Procedure).

B) FORCE MAJEURE

a) For purposes of this Agreement, the term "Force Majeure" shall mean any of the following events not within the reasonable control and not due to the failure, negligence or persistent disregard of the Party whose performance is adversely affected or becomes impracticable, and who chooses to invoke Force Majeure:

i. Action of a court or public authority having or purporting to have jurisdiction or restraints by a court or regulatory agency;

ii. A break or fault in the transmission or distribution systems or failure of the transmission Licensee's or Distribution Licensee's transformers, switches or other equipment necessary for delivery and dreceipt of electrical energy exported from the Company;

iii. Any Act of God, fire, explosion, excessive rains, floods, tidal wave, epidemic, hurricane or earthquake;

iv. Any other cause, whether or not similar thereto, beyond the reasonable control of, and without the fault or negligence of, the party claiming Force Majeure;

v. Civil disturbance, insurrection, rebellion, hostilities, public disorder or public disobedience, sabotage, riot, embargo, blockade, quarantine, labour dispute, strikes, lockouts, acts of war or the public enemy whether or not war is declared;

vi. Nationalisation, expropriation, or confiscation of the assets or authority of the NSO or of the Company by any authority of the Government;

b) Any obligations of either Party which arose before the occurrence of the Force Majeure event causing non-performance shall not be excused as a result of the occurrence of a Force Majeure event. The late payment of money owed is not excused by Force Majeure. No event resulting from a failure of a Party to operate and maintain their respective plant and equipment accordance with Prudent Utility Practices shall be deemed to be an event of Force Majeure.

c) No default shall occur, provided that the adversely affected non-performing Party invoking Force Majeure shall:

i. Provide seven (7) days notice in writing to the other Party of the occurrence of the Force Majeure, giving an estimation of its expected duration and the probable impact on the performance of its obligations hereunder, and submitting good and satisfactory evidence of the existence of the Force Majeure,

ii. Exercise all reasonable efforts to continue to perform its obligations hereunder,

iii. Expeditiously take action to correct or cure the Force Majeure and submit good and satisfactory evidence that it is making all reasonable efforts to correct or cure the Force Majeure,

iv. Exercise all reasonable efforts to mitigate or limit damages to the other Party, to the extent such action will not adversely affect its own interests, and

v. Provide seven (7) days notice to the other Party of the cessation of the Force Majeure.

d) If a Party is rendered wholly or partly unable to perform its duties and obligations under this Agreement because of a Force Majeure event, that Party shall be excused to the extent necessary from whatever performance is affected by the Force Majeure event to the extent so affected.

e) Notwithstanding the foregoing, if a Party is prevented from substantially performing its obligations under this Agreement for a period of one (1) year due to the occurrence of a Force Majeure event, the other Party may terminate the Agreement by ninety (90) days written notice given any time thereafter to the non performing Party, unless substantial performance is resumed prior to the expiration of the ninety (90) day period. NSO may not terminate the Agreement under this part due to a Force Majeure event described in Article 6(B) (a) items (v) or (vi).

ARTICLE 7 - RELATIONSHIP OF PARTIES; LIMITATION OF LIABILITY; INDEMNIFICATION

7.1 The Parties do not intend to create any rights or entitlements upon, or grant any remedies to, any third party, whether claiming to be a beneficiary or otherwise of this Agreement.

7.2 Nothing in this Agreement shall be construed as creating any relationship between the Parties other than that of independent contractors for the purpose of providing and utilising Battery Energy Storage Services from the Facility. No agency relationship of any kind is created by this Agreement.

7.3 Notwithstanding Article 8.4 hereof or any other provision of this Agreement to the contrary, neither NSO nor the Company nor their respective officers, directors, agents, employees, parent, subsidiaries or affiliates shall be liable or responsible to the other party or its parent, subsidiaries, affiliates, officers, directors, agents, employees, successors or assigns, or their respective insurers, for incidental, indirect or consequential damages, connected with or resulting from performance or non-performance of this Agreement, including, without limitation, claims in the nature of lost revenues, income or profits (other than payments expressly required and properly due under this Agreement).

7.4 Each Party shall defend, indemnify and hold the other Party, its officers, directors, agents, employees and affiliates, harmless from and against any and all claims, liabilities, actions, demands, awards, judgements, losses, costs, expenses (including reasonable attorneys' fee), suits, actions or damages arising by reason of bodily injury, death, or damage to property sustained by any person or entity (whether or not a party to this Agreement):

i. caused by or sustained on facilities owned or controlled by such Party, except to the extent caused by the negligence or wilful misconduct by an officer, director, subcontractor, agent, employee or affiliate of the Party seeking indemnity; or

ii. caused by an act of negligence or wilful misconduct of the indemnifying Party or by an officer, director, subcontractor, agent or employee of the indemnifying Party.

7.5 If NSO and the Company are both determined to have been negligent in a manner addressed by Article 8.4 above, the obligations of the Company and NSO shall be appropriately adjusted based on the percentage of the responsibility of each Party for such negligence.

ARTICLE 8 - DISPUTE RESOLUTION

8.1 If there exists between the Parties any dispute, difference, controversy or claim arising out of, related to or connected with this Agreement or the interpretation of any of the provisions thereof or the existence, validity, breach or termination thereof (a "**Dispute**"), the Parties shall first attempt to amicably resolve such Dispute between themselves by good faith mutual discussions within thirty Days, or, in the case of a Dispute involving insurance or any Disputed Amount, fourteen Days, after the date that the disputing Party gives notice of the Dispute to the other Party identifying the Dispute in reasonable detail and requesting consultations between the Parties to resolve the Dispute (or such longer period as the Parties may agree);

8.2 In the event a Dispute is not resolved in the manner set out in Article 9.1 above, such Dispute shall be finally resolved by arbitration in accordance with the Arbitration Rules of the United Nations Commission on International Trade Law (the "**UNCITRAL Rules**") for the time being in force. The Parties agree the High Court of Sri Lanka shall be the Appointing Authority for such arbitration acting in terms of the provisions of the Arbitration Act No. 11 of 1995 for the purpose of these UNCITRAL Rules.

8.3 All arbitral proceedings shall be held in Sri Lanka in English language.

8.4 The performance of the contract may continue during arbitration proceedings as far as possible.

ARTICLE 9 - DELEGATION AND ASSIGNMENT

This Agreement shall inure to the benefit of and bind the respective successors, permitted assigns, and delegates of the Parties. No assignment or delegation by the Company of any of its rights, duties, or obligations here under shall be made or become effective without the prior written consent of the NSO in each case being obtained, which consent shall not be unreasonably withheld by the NSO or its successors in interest, except that without the NSO consent the Company may (1) delegate or assign some or all of its rights and duties to an affiliate whose principal functions are to hold the ownership interest in or to operate the Facility, or(2) assign or delegate to an unrelated entity for purposes of financing, obtaining equipment, or construction of the Facility. The Company shall promptly notice the NSO in writing of any assignment or delegation that it makes.

ARTICLE 10 - MISCELLANEOUS PROVISIONS

10.1 This Agreement may not be modified or amended except in writing signed on behalf of both Parties by their duly authorized officers.

10.2 This Agreement constitutes the entire agreement between the Parties relating to the subject matter hereof, and all previous agreements, discussions, communications and correspondences with respect to the subject matter hereof are superseded by the execution of this Agreement.

10.3 The interpretation and performance of this Agreement shall be in accordance with and controlled by the laws of the Democratic Socialist Republic of Sri Lanka.

10.4 Each Party represents and warrants to the other that the execution and performance of this Agreement do not conflict with any rules, regulations or requirements binding that Party, and that there is no legal or administrative action pending that prohibits or impairs the Party from performing under the Agreement.

10.5 There shall be no implied waivers under this Agreement. The failure of either Party to require compliance with any provision of this Agreement shall not affect that Party's right to later enforce the same. It is agreed that the express waiver by either Party of performance of any of the terms of this Agreement or of any breach thereof shall not be held or deemed to be an implied waiver by that Party of any subsequent failure to perform the same or any other term or condition of this Agreement or of any breach thereof.

10.6 If any Article of this Agreement is ruled invalid by a court of competent jurisdiction, it shall not affect the remainder of the Agreement if it can be construed to affect its essential purpose without the invalid Article.

10.7 The headings in this Agreement are descriptive and are not intended to affect the interpretation or meaning of the Agreement.

10.8 Any notice, invoice, or other communication which is required or permitted by this Agreement, except as otherwise provided herein, shall be in writing and delivered by personal service, telecopy, or mailed postage prepaid, properly addressed as follows:

i. **In the case of the Company** to:

the person, the Company, and address as indicated on the signature execution line below.

ii. **In the case of the NSO** to:

Chief Executive Officer, National Systems Operator (Private) Limited, No.50, Sir Chittampalam A Gardiner, Mawatha, Colombo 2, Sri Lanka.

Another address or addressee may be specified in a notice duly given as provided. Each notice, invoice or other communication which shall be mailed, delivered or transmitted in the manner described above shall be deemed sufficiently given and received for all purposes at such time as it is delivered to the addressee or at such time as delivery is refused by the addressee upon presentation.

ARTICLE 11 - FIRST REFUSAL; MILESTONES

11.1 First Refusal

i. At the conclusion of the Term, the NSO shall have the right of first refusal to the supply of Battery Energy Storage Services from the Facility after the Term, on terms identical to those offered by a third party to the Company.

ii. The Company shall inform the NSO in writing of any such terms offered by a third party. The NSO shall, within sixty (60) days of the date of such notice, exercise its right of first refusal, after which, such right shall be deemed to have been rejected.

11.2 Milestones

(i) The Company shall, within one (01) month from the date of execution of this Agreement, submit to the NSO all results, reports, and validated models of the BESS Project derived from the Dynamic Model Tests, in a form and level of detail acceptable to the NSO.

(ii) The Seller shall, within two (2) Months from the date of execution of this Agreement, submit to the NSO evidence of Financial Closure in the form of a certificate, endorsed by the Seller and the Lenders, confirming that financing for the Project has been secured in accordance with the provisions of the Financing Agreements, the conditions required for first drawdown of funds thereunder have either been satisfied or waived by the Lenders.

(iii) The Seller shall within three (3) Months from the date of execution of this Agreement, submit to NSO the Construction Notice and commence the construction activities thereof;

(iv) The Company shall have a period of **five (5) months** for achieving the completion of the construction, testing and commissioning of the Facility and Grid Interconnection Line from the date hereof and

(v) The Company shall have a period of **one (1) month** after achieving the Milestone (iv) above, to achieve the Commercial Operation Date.

In the event the Company fails to achieve any of the milestones stipulated in items (i), (ii), (iii), (iv) or (v), within the prescribed period or within such extended period as may be approved by the NSO at its sole discretion, the NSO shall be entitled, without prejudice to any other rights or remedies available under this Agreement, to forfeit the Performance Security.

In witness whereof the Parties have executed this Agreement and one other of the same tenor, by affixing their respective common seals, as of the **xx**$^{\textbf{th}}$ day of the month of **April 2026**

1.1.1 National Systems Operator (Private) Limited			**1.1.2 THE COMPANY**		
	Seal			Seal	
1	By		1	By	
	Name	Bentara Liyanage Pradeep Priyadarsha Perera		Name	xxxxx
	Title	Chairman		Title	Director
2	By		2	By	
	Name	Gisensly Janaka Aluthge		Name	xxxxx
	Title	Board Director		Title	Director
	Witness 1			Witness 1	
	Witness 2			Witness 2	

1. Capacity Charge Payment for Availability

Payments to be made to the Company under this Agreement will be based on the following Capacity Charge Rate ("R") for the entire commercial operation period of 15 years. There will not be any escalation to the Capacity Charge Rate during the entire commercial operation period.

Table A1 Capacity Charge Rate

Commercial Operation Year	Capacity Charge Rate (R) (LKR/MW/Month)
1 - 15	**xxxx.xx**

The Contracted Power Capacity **("$\mathbf{C_{PC}}$")** for the Project is 10 MW and Contracted Storage Capacity **("$\mathbf{C_{SC}}$")** is 40 MWh.

The offered BESS shall be capable of continuously discharging at the Contracted Power Capacity ("$\mathbf{C_{PC}}$"**)** for a minimum duration of four (4) hours under ambient site conditions at the time of commissioning and shall be designed to maintain this discharge duration for at least the first year of operation, taking into account expected degradation. This is equivalent to the Contracted Storage Capacity ("$\mathbf{C_{SC}}$").

The Company shall guarantee a minimum Monthly System Availability ($\mathbf{MA_m}$) of 97% on monthly basis.

The Monthly System Availability shall be based on "Capacity Availability" and "Dispatch Availability".

"Capacity Availability" of the Project shall mean the ability of the Facility to declare and deliver the Contracted Power Capacity during the applicable period of operation.

The Company shall submit to the National System Control Centre an estimate of the facility's expected availability, in 15-minute resolution, covering a rolling 3-day period, in the format prescribed by NSO.

$$\mathbf{Capacity\ \ Availability}\ (\mathbf{CA_h})\ = \frac{\mathbf{Achieved\ Power\ Capacity}\ (\mathbf{MW})}{\mathbf{Contracted\ Power\ Capacity}\ (\mathbf{MW})}$$

Achieved Power Capacity shall mean the lowest magnitude (in MW), whether for charging or discharging, of the Company's declared available capacity during an hour.

National System Control Centre shall not issue Dispatch Instructions exceeding the Company's declared available capacity (in magnitude).

If, in any 15-minute interval, the actual power (in magnitude) delivered by the Facility, whether charging or discharging, is less than the power capacity specified in the Dispatch Instruction, such lower magnitude shall be deemed the Achieved Power Capacity for that hour.

In the event of a deviation from the scheduled Dispatch Instruction due to an automatic frequency response by the BESS, initiated based on predefined droop settings as set and acknowledged by NSO, Achieved Power Capacity for that hour shall be based on declared available capacity of the Company.

$$\boldsymbol{MCA_m} = (\mathbf{1} / \boldsymbol{H}) \times \sum_{h=1}^{H} \mathbf{CA_h}$$

Where:

a) **H**: Number of Hours in the month
b) $\mathbf{CA_h}$ Capacity Availability for the hour h.
c) $\mathbf{MCA}_m$ refers to the Monthly Capacity Availability in month m

"Dispatch Availability" of the Project shall mean the ability of the Facility to execute a function of charging or discharging, when called upon to do so, as per Dispatch Instructions provided by the National System Control Centre, subject to the minimum system ratings specified herein.

$$\textbf{Dispatch Availability}\ (\mathbf{DA}_i) = \frac{\textbf{Actual Charge or Discharge}\ (\mathbf{MWh})_i}{\textbf{Scheduled Charge or Discharge}\ (\mathbf{MWh})_i}$$

where,

a) **i** refers to the ith time block in the year where Scheduled Charge/Discharge MWh$_i$ ≠ 0. Duration of a single time block is fifteen (15) minutes.
b) Actual Charge/Discharge MWh$_i$ is the Energy Scheduled for Charging/Discharging in the ith time block, in MWh$_i$
c) Scheduled Charge/Discharge MWh$_i$ is the Energy Scheduled for Charging/Discharging in the ith time block. The schedule charge and discharge can be based on Dispatch Instructions of National System Control Centre.
d) Measurement of charging and discharging energy shall be as per the at the Main Energy Meter at the Point of Interconnection.

NSO shall schedule Dispatch Instruction on 15 minute time interval, and Dispatch Instruction for i^{th} time block shall be issued or changed in $(i-1)^{th}$ time block. The Company shall comply with Dispatch Instructions and shall provide constant power output (MW) for the complete duration of the time block to achieve the scheduled energy of the time block.

In the event of a deviation from the scheduled Dispatch Instruction due to an automatic frequency response by the BESS, initiated based on predefined droop settings as set and acknowledged by NSO or change in Dispatch Instruction within the time block as requested by NSO, the System Availability for the corresponding time block shall be deemed as 1.

In the event that the Company is unable to comply with a Dispatch Instruction due to a failure, curtailment, or outage of the Transmission or Distribution System, or any other condition outside the reasonable control of the Facility, the availability for the affected time block shall be deemed to be 1.

$$\mathbf{MDA_m} = (\mathbf{1} / \mathbf{N}) \times \sum_{\mathbf{i=1}}^{\mathbf{N}} \mathbf{DA}_\mathrm{i}$$

Where:

d) **N**: Number of time-blocks during the month where charging/discharging instructions was scheduled
e) $\mathbf{DA_i}$ Dispatch Availability in time-block I , where $\boldsymbol{DA_i} \leq 1$.
f) $\mathbf{MDA_m}$ refers to the Monthly Dispatch Availability in month m

For the purpose of calculating Monthly Dispatch Availability (MDA_m), a minimum of 100 valid Dispatch Instructions must be issued from National System Control Centre during the month. If the number of Dispatch Instructions is less than 100, the MDA_m shall be deemed to be 100% for that month, unless the Company fails to comply with more than 50% of such instructions.

The Monthly System Availability and Annual System Availability shall commence from the date of commissioning of the system and shall be calculated as below:

$$\mathbf{MA_m} = \mathbf{MCA_m} \times \mathbf{MDA_m}$$

$$\mathbf{AA_y} = (\mathbf{1} / \mathbf{12}) \times \sum_{\mathbf{m=1}}^{\mathbf{12}} \mathbf{MA_m}$$

Where:

a) $\boldsymbol{MA_m}$ refers to the Monthly System Availability in month m
b) $\boldsymbol{AA_y}$ refers to the Annual System Availability in contract year y

The Company shall pay the liquidated damages for such shortfall of achieving Monthly System Availability ($\boldsymbol{MA_m}$) below 97% and shall duly pay such damages to NSO. Amount of such liquidated damages shall be **twice** the Capacity Charge Rate (R) for the capacity not made available.

However, at the conclusion of each contract year, if the Annual System Availability ($\boldsymbol{AA_y}$) meets or exceeds the 97% threshold, the NSO shall carry out a reconciliation. Any liquidated damages imposed during that contract year for unavailability shall be reviewed, and necessary adjustments (without interest) shall be made in favour of the Company, where applicable.

NSO shall ensure that maximum number Full Equivalent Cycles shall not exceed 400 per year. Full Equivalent Cycles shall be calculated using the "Rainflow Counting Method" in accordance with relevant international standards. The calculation shall be based on the BESS State of Charge data recorded at a 15-minute resolution.

In the event the NSO does not utilize the full allocated Full Equivalent Cycle limit in any given contract year, all unused Full Equivalent Cycles shall be carried forward and added to the available Full Equivalent Cycle allocation for the next contract year.

In addition, the Company shall also demonstrate, on annual basis, 100% of the Minimum Dispatchable Storage Capacity of the BESS. Taking into consideration capacity degradation, the Minimum Dispatchable Storage Capacity to be made available by the Company at the end of a given year shall be as follows:

Table A2 Minimum Dispatchable Storage Capacity per Contract year

Contract Year	**Minimum Dispatchable Storage Capacity (MWh) at the end of Contract Year**
1	97.5% x $\mathbf{C_{SC}}$
2	95.0% x $\mathbf{C_{SC}}$
3	92.5% x $\mathbf{C_{SC}}$
4	90.0% x $\mathbf{C_{SC}}$
5	88.0% x $\mathbf{C_{SC}}$
6	86.0% x $\mathbf{C_{SC}}$
7	84.0% x $\mathbf{C_{SC}}$
8	82.0% x $\mathbf{C_{SC}}$
9	80.0% x $\mathbf{C_{SC}}$
10	78.0% x $\mathbf{C_{SC}}$
11	76.0% x $\mathbf{C_{SC}}$
12	74.0% x $\mathbf{C_{SC}}$
13	72.0 % x $\mathbf{C_{SC}}$
14	70.0% x $\mathbf{C_{SC}}$
15	68.0% x $\mathbf{C_{SC}}$

The Actual Dispatchable Storage Capacity shall be calculated or measured at the end of each contract year. In the event of reduction of Actual Dispatchable Storage Capacity below the Minimum Dispatchable Storage Capacity at the end each contract year, monthly capacity charge of subsequent year will be reduced based on the proportional loss of storage capacity.

Hence Capacity Charge Payment per month shall be;

If $MA_m \geq 0.97$;

$$\mathbf{CC_{ym}} = \mathbf{R} \times \mathbf{C_{PC}} \times \frac{\mathbf{ADSC_{y-1}}}{\mathbf{MDSC_{y-1}}}$$

If $MA_m < 0.97$;

$$\mathbf{CC_{ym}} = \mathbf{R} \times \mathbf{C_{PC}} \times (\mathbf{1} - \mathbf{2} \times (\mathbf{0.97} - \mathbf{MA_m})) \times \frac{\mathbf{ADSC_{y-1}}}{\mathbf{MDSC_{y-1}}}$$

Where:

a) **y** refers to the contract year
b) **m** refers to the month of the contract year
$\mathbf{CC_{ym}}$ Refers to the capacity charge payment of month m in year **y**. The constraint of $\mathbf{CC_{ym}} \geq \mathbf{0}$ shall be complied when calculating capacity charge payments.
c) **ADSC** refers to the Actual Dispatchable Storage Capacity (MWh) measured at the end of the Contract Year
d) **MDSC** refers to the Minimum Dispatchable Storage Capacity (MWh) expected at the end of the Contract Year as tabulated in table A2.
e) The constraint of $\frac{\mathbf{ADSC_{y-1}}}{\mathbf{MDSC_{y-1}}} \leq \mathbf{1}$ shall be complied when calculating capacity charge payments.

2. Liquidated Damages

The total Liquidated Damages payable by the Company for any Contract Month shall be limited to a maximum of twenty percent (20%) of the Capacity Charge payable for that Contract Month ($\boldsymbol{CC_{ym}}$).

2.1 Liquidated Damages for Efficiency

The Company shall guarantee a minimum AC to AC roundtrip efficiency for the system at metering point on monthly basis. The Guaranteed Round Trip Efficiency ($\mathbf{GRTE}$) shall be based on the number of Full Equivalent Cycles dispatched in a month ($\mathbf{FEC_m}$).

$$\text{If } (\,\mathbf{FEC_m} > 25); \quad \mathbf{GRTE} = \mathbf{85}\%$$

$$\text{If } (\,15 < \mathbf{FEC_m} \leq 25); \quad \mathbf{GRTE} = \mathbf{84}\%$$

$$\text{If } (\,10 < \mathbf{FEC_m} \leq 15); \quad \mathbf{GRTE} = \mathbf{83}\%$$

$$\text{If } (\,\mathbf{FEC_m} \leq 10); \quad \mathbf{GRTE} = \mathbf{82}\%$$

The Company shall be liable for Liquidated Damages, on account of conversion losses, based on the following conditions:

i. For $\mathbf{RTE_m} < \mathbf{GRTE}$ there shall be a liquidated damage levied upon the excess conversion losses at 150% per unit of Peak time Tariff for supply of 33kV connected customers for General Purpose requirements. The tariff applicable would be rate applicable in each month during the operation of the facility.

ii. For $\mathbf{RTE_m} \geq \mathbf{GRTE}$ there shall be no incentive payment or any liquidated damage levied for energy converted.

$$\mathbf{Roundtrip\ Efficiency}\ (\mathbf{RTE_m}) = \frac{\mathbf{D_m} + \mathbf{S_m}}{\mathbf{C_m}}$$

Where;

a) $\mathbf{RTE_m}$ refers to the Roundtrip Efficiency at metering point for the month m
b) $\mathbf{C_m}$ refers to the total energy imported to the facility through the Metering Point, during the month m
c) $\mathbf{D_m}$ refers to the total energy exported from the facility through the Metering Point, during the month m
d) $\mathbf{S_m}$ refers to the Allowable Self Discharge Adjustment during the month m.

In the event that NSO does not issue Dispatch Instructions to fully discharge the energy charged within the same month, the portion of undischarged energy from the final charging cycle shall not be considered in the Round-Trip Efficiency $\mathbf{RTE_m}$ calculation for that month. Instead, such energy shall be carried forward and accounted for in the subsequent month's $\mathbf{RTE_{m+1}}$ calculation. The determination of such carried forward energy shall be based on the logged operational data recorded at the NSCC.

In the event of a prolonged grid outage beyond the control of the Company's Facility, or when discharge Dispatch Instructions are not issued for a continuous period exceeding twenty-four (24) hours, any energy loss resulting from the natural self-discharge of the charged BESS would be considered for Allowable Self Discharge Adjustment. This shall be deemed to occur at a rate of zero point one percent (0.1%) of the State of Charge per twenty-four (24) hour period, measured from the time of the last discharge, during which the Facility is not required to perform discharge operations. This would be treated as an Allowable Self Discharge Adjustment in the calculation of Round-Trip Efficiency ($\mathbf{RTE_m}$) for the purpose.

There shall be no Allowable Self-Discharge Adjustment applicable in the event of maintenance activities undertaken by the Company's BESS Facility or any outage caused by the Company's BESS Facility.

Hence

$$\mathbf{LDE_m} = \mathbf{1.5} \times \mathbf{T} \times (\mathbf{GRTE} \times \mathbf{C_m} - (\mathbf{D_m} + \mathbf{S_m}))$$

Where;

a) $\mathbf{LDE_m}$ refers to the liquidated damages for loss of energy per month. The constraint of $\mathbf{LDE_m} \geq \mathbf{0}$ shall be complied.
b) $\mathbf{T}$ refers to the tariff rate applicable during the month m
c) $\mathbf{GRTE}$ is dependent on number of Full Equivalent Cycles dispatched in a month.

Note:

- Measurement of charging and discharging energy shall be as per the Main Energy Meter at the Point of Interconnection (Metering Point).

2.2 Liquidated Damages for Functional Performances

The Company shall operate the Facility in accordance with all applicable Functional Specifications and Grid Code requirements, including but not limited to frequency response obligations.

In the event the Facility fails to meet such obligations during any event, NSO may impose Liquidated Damages equal to one percent (1%) of the Capacity Charge payable for the Contract Month for each such event. The total Liquidated Damages under this clause shall not exceed ten percent (10%) of the Capacity Charge payable for the Contract Month.

Hence

$$\mathbf{LDP_m} = \mathbf{CC_{ym}} \times \mathbf{E} \times \mathbf{0.01}$$

Where;

a) $\mathbf{LDP_m}$ refers to the liquidated damages for failure of providing functional performances per month
b) $\mathbf{E}$ refers to the total number of events in the month, where failure of providing functional performances is imposed, where the constraint of $\mathrm{E} \leq 10$ shall be complied when calculating Liquidated Damages.

No Liquidated Damages shall apply to non-performance caused by events beyond the reasonable control of the Company, including grid outages or system operator instructions.

APPENDIX B - SPECIFICATIONS OF THE COMPANY'S FACILITY

NAME OF FACILITY	:	

LOCATION OF FACILITY:

Postal Address	:	
Telephone	:	
Route	:	Map is attached

TYPE OF FACILITY	:	BESS

SPECIFICATION OF THE FACILITY:

Unit capacity (indicate capacities in MW)	:	
Unit Storage capacity (indicate capacities in MWh)	:	
Number of Units	:	

BATTERY SPECIFICATION:

Battery chemistry (LFP, NMC, NAS etc.)	:	
Rated energy capacity (MWh at beginning of life)	:	
Rated power output	:	
Maximum continuous discharge/charge rate (C-rate)	:	
Depth of Discharge (DoD) limits	:	
Equivalent Full Cycle life (EFCs) at 100% DoD	:	
Equivalent Full Cycle life (EFCs) at 50% DoD	:	
Self-Discharge Rate	:	

Thermal management system	:	
Cell, module, and rack configuration	:	

INVERTER/ PCS SPECIFICATION:

Type	:	
No. of Units	:	
Output Voltage	:	
Power Rating (indicate rates in kVA)	:	
Power Factor	:	
Method of output power Control	:	
Droop Settings	:	
Method of output voltage Control	:	

TRANSFORMER(S) SPECIFICATION:

Type	:	
Number of Transformers	:	
Unit Capacity (kVA)	:	
Primary / Secondary Voltage	:	

GRID CODE COMPLIANCE METER

Manufacturer	:	
Model	:	
Functions	:	• Real-time electrical parameter measurement • Power quality monitoring • Fault ride-through monitoring • Communication and control integration • Data storage and reporting

TRANSMISSION LINE SPECIFICATION

Conductor Type	:	
Number of Circuits	:	
Route Length	:	
Tower Type	:	

PROTECTION EQUIPMENT	:	As specified in the Annex A of RFP & CEB Guide for Grid Interconnection of Embedded Generator (2000) and as amended.

SCADA COMMUNICATION SPECIFICATION

Equipment	:	
	:	
Firewall	:	
	:	

QUALITY OF ELECTRICAL ENERGY AT THE TERMINATION POINT

Voltage	:	33 kV ± 10%
Installed Capacity (indicate in kW,DC)	:	
Maximum Allowed Power at Termination Point (indicate in MW,AC)	:	
Maximum Line Current (indicate in Amperes)	:	
Method adopted to limit the maximum power output (MW,AC)	:	
Frequency	:	
Power Factor (Operational)	:	*Power factor can vary as specified in the requirements stipulated in Annex A of the RFP*

EXPECTED DATE OF TESTING & COMMISSIONING	:	**xxxx**

APPENDIX C

TECHNICAL STANDARDS FOR TESTING OF THE FACILITY

1. Grid Connection Code approved by Public Utilities Commission in Sri Lanka dated 22nd July 2024. (*Some Article specifically mentioned in Functional Specifications issued with the RFP, may differ from the Grid connection Code. In such instance the Functional Specifications issued with the RFP shall take precedence over the Grid Connection Code requirements.)*

2. NSO Guide for Grid Interconnection of Embedded Generators, Sri Lanka (2000) and its addenda. *(Applicable only on matters that are not covered through Grid Connection Code or Functional Specifications issued with the RFP)*
3. The Engineering Recommendation G59/3 or G99/1 or the latest version published by The Energy Networks Association, United Kingdom.
4. Any subsequent written agreement comes into force between the Company and NSO on testing the Facility.

APPENDIX D

(Annex A of RFP)

FUNCTIONAL PERFORMANCE REQUIREMENTS – GRID INTEGRATION

DATA AND MODEL REQUIREMENTS TO BE COMPLIED BY INVERTER BASED RENEWABLE ENERGY PLANTS (IBRE) PRIOR TO BE INTERCONNECTED TO NSO NETWORK

DYNAMIC PLANT MODEL QUALITY AND DYNAMIC RESPONSE TEST TO BE COMPLIED BY INVERTER BASED RENEWABLE ENERGY PLANTS (IBRE) PRIOR TO BE INTERCONNECTED TO NSO NETWORK

APPENDIX E

APPROVED METER TESTING INSTITUTIONS

- The Developer shall, at its own cost and responsibility, nominate three (03) authorized and accredited meter testing institutions acceptable to the NSO and notify the NSO in writing within a reasonable timeframe prior to the scheduled meter testing.

- The NSO shall review the nominations and communicate its approval. The Factory Acceptance Tests (FAT) of the Metering Equipment shall be carried out only by an institution approved by the NSO.

- All costs associated with meter testing, including testing fees, transportation, and any related expenses, shall be borne by the Developer. The Developer shall ensure that all testing is conducted in accordance with the relevant IEC standards and procedures acceptable to the NSO.

APPENDIX F

APPLICABLE IEC STANDARDS FOR METERING EQUIPMENT AND TESTING

All Metering Equipment and associated Factory Acceptance Tests (FAT) shall comply with the latest editions of the following International Electrotechnical Commission (IEC) standards, as applicable:

(a)	IEC 62052-11:2020	Electricity metering equipment - General requirements, tests and test conditions - Part 11: Metering equipment
(b)	IEC 62053-22:2020	Electricity metering equipment - Particular requirements - Part 22: Static meters for AC active energy (classes 0,1S, 0,2S and 0,5S)
(c)	IEC 62053-23:2020	Electricity metering equipment - Particular requirements - Part 23: Static meters for reactive energy (classes 2 and 3)
(d)	IEC 62053-24:2020	Electricity metering equipment - Particular requirements - Part 24: Static meters for fundamental component reactive energy (classes 0,5S, 1S, 1, 2 and 3)
(e)	IEC 62058-11:2008	Electricity metering equipment (AC) - Acceptance inspection - Part 11: General acceptance inspection methods
(f)	IEC 62058-31:2008	Electricity metering equipment (AC) - Acceptance inspection - Part 31: Particular requirements for static meters for active energy (classes 0,2 S, 0,5 S, 1 and 2)
(g)	IEC 62052-21:2004	Electricity metering equipment (a.c.) - General requirements, tests and test conditions - Part 21: Tariff and load control equipment
(h)	IEC 62056-21:2002	Electricity metering - Data exchange for meter reading, tariff and load control - Part 21: Direct local data exchange
(i)	IEC 62056-5-3:2017	Electricity metering data exchange - The DLMS/COSEM suite - Part 5-3: DLMS/COSEM application layer
(j)	IEC 62056-6-1:2017	Electricity metering data exchange - The DLMS/COSEM suite - Part 6-1: Object Identification System (OBIS)
(k)	IEC 62056-6-2:2017	Electricity metering data exchange - The DLMS/COSEM suite - Part 6-2: COSEM interface classes
(l)	IEC 60529:2013	Degrees of protection provided by enclosures (IP Code)

However, in the event of discrepancy, details given in this NSO specification supersede above standards.

APPENDIX G

TYPICAL SIGNAL LIST FOR BESS AND COMMUNICATION PATH CONFIGURATION FOR THE GATEWAY INSTALLING AT BESS CONTROL CENTER UNDER THE DEVELOPER PREMISES

Exhibit A

INFORMATION TO BE INDICATED IN THE SINGLE LINE DIAGRAM

1. The following are to be indicated in the Single-Line diagram:

   (a). Grid Point "G", Termination Point "T" and Metering Point "M"
   (b). System Boundaries of NSO & Company
   (c). All protection equipment
   (d). Location of Company's energy metering equipment (if any)

2. VOLTAGE AT THE GRID POINT = 33kV (+10%, -10%)

3. VOLTAGE AT THE TERMINATION POINT = 33kV (+10%, -10%)

Termination point:

The physical boundary between NSO & Company. Company owns all equipment except the portions marked as NSO property and operate and maintain them at Company's expense up to this point from the generation side.

Metering Point:

At this point NSO fixes its metering equipment for the measurement of energy output. .

Grid Point:

At this point the Transmission Line/s physically connect to the national grid. From Termination Point to the Grid Point, the developing cost of the Transmission Line/s and all associated equipment shall be borne by the Company and owned/maintained by NSO.

SINGLE LINE DIAGRAM OF THE FACILITY

PROJECT LOCATION (*GEOGRPHICAL MAP*)